The industry was hard hit by the collapse of Long-Term Capital Management in 1998, followed by the spectacular implosions of Robertson's Tiger Funds and the high-flying Quantum Fund in 2000. In 2002, the well-known money manager Mario Gabelli called hedge funds "a highly speculative vehicle for unwitting fat cats and careless financial institutions to lose their shirts."

Managed futures are but one category of hedge fund. There are 18 others, the majority of which are long only. Drawn like moths to a flame by their strong desires to enhance performance and diversify more broadly, institutions have greatly stepped up their hedge fund investments. At the end of 2011, 61% of the worldwide investment in hedge funds came from institutional sources. Hedge fund assets as a whole grew from $60 billion in 1990 to $200 billion in 1999 and were at an all-time high of more than $2.7 trillion in the first quarter of 2014.

Looking at hedge fund performance as of December 2013, the Bloomberg Hedge Funds Aggregate Index was down 1.8% from its July 2007 peak. This marked the eleventh consecutive year in which the performance of a balanced 60/40 stock/bond portfolio beat the hedge fund industry.

The average hedge fund has lagged the performance of the S&P 500 Index since 1995. This may be acceptable for hedge funds that actually do hedge, but most of them do not. In a study of 306 long-only hedge fund returns from 1986 through 2000, Griffin and Xu (2009) found that hedge funds have no special abilities to generate positive, risk-adjusted excess returns. Since then, hedge fund alpha has remained negative.

Funds of funds that hold other hedge funds (FOFs) have done no better. Dewaele et al. (2011) studied 1,315 FOFs in the Lipper-TASS database from 1994 through August 2009. After adjusting for risk factors, they found that only 5.6% of FOFs showed risk-adjusted returns greater than the hedge fund indexes, and there was no significant difference between the average FOF and a fund picked at random.

Simon Lack, author of the 2012 book *The Hedge Fund Mirage*, used the BarclaysHedge database from 1998 through 2010 to perform asset-weighted return calculations, similar to an internal rate of return. He argued that this is more appropriate than the usual time-weighted return calculation because hedge fund managers have control over when they accept and commit capital. Using this asset-weighted return measure, the HFR Global Hedge